

# Money

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- India's currency and features
- Press, mint
- money supply

## Intro

Q. Meaning of Mudra / money?

- 1) Money is the instrument used to exchange goods and services, measure value and accumulate wealth.

In short  
medium of exchange - goods & services

## Function

- ✓ medium of exchange
- ✓ money makes it easier to transact goods and services
- ✓ The value of goods and services is measured in currency.
- ✓ means of value Accumulation.
- ✓ The currency can be saved for the future
- ✓ currency is the basis for borrowing loans and future payments.
- ✓ means Value Transfer
- ✓ Value can be sent from one place to another through currency.

## Origin

- Barter system
  - commodity
  - coins / metallic
  - Paper currency
  - Bank money

- Digital currency
- CBDC

## Barter system

- It was the earliest form of currency
- In this, commodity for commodity was exchanged.

Ex-

- Farmer used to take clothes <sup>exchange</sup> instead of wheat
- The carpenter exchanged grain for wood

### Flaws:

- Lack of dual desire
- Difficult to determine the price of goods
- Difficult to save items

### metal currency

/copper

Ex- gold/silver coins

### Advantages

- Durable and Valuable.
- Ease of Transaction.

### Flaws

- Heavy and Hard to carry
- Available in limited quantities.

First metal coins were seen in Turkey.

In India around 600 B.C.

## Commodity (b/w barter and metal coin)

- Society of Gre woods of Importance of use as commodity.

Ex. In Vedic Era Cow is used as medium of exchange

Further hold

## Paper currency

- Paper note issued by the Govt.

Ex.

₹ 10, ₹ 100, ₹ 500 Notes.

- It is also called fiat currency.

→ In world Paper currency first seen in China

→ In India in 1861, Paper currency Act was ~~seen~~ Applied

## Advantages

- 1) Light weight and easy to carry
- 2) Large transactions possible

## Flaws

- 1) may be destroyed
- 2) Potential for counterfeiting

## Bank money

The money deposited in bank.  
or

Transaction at Bank involve it

Ex

Paper order: cheque, DD/Demand draft  
Electronic order: ~~online payment~~, ~~UPI~~, NEFT, RTGS, IMPS  
Card: DEBIT, CREDIT

Advantage

- Safe
- convenience for large payment methods

Disadvantage

- Dependency on Bank
- Not instantly accepted everywhere

## Digital currency

virtual money

Ex. Bitcoin

Ethereum

Features

- Based on blockchain technology
- limited quantity

Flaws

- Extreme Price fluctuations
- Not every country has legal recognition

## Electronic money

- UPI/Internet Banking

Advantages

- Fast and Easy
- No need to keep cash

Flaws

- Relying on the Internet and technology
- Cyber Fraud risk

## CBC

→ It is a digital currency issued by the central Bank

• Digital Rupee in India (e₹)

### Advantages

- Recognised by govt
- Secure and Reliable
- Further strengthens digital Payments

## Fiat currency:

Fiat currency is the currency that the govt of a country legally recognizes and must accept in transaction. The value of this currency is not directly linked to any gold, silver or other physical asset.

- Fiat currency is priced because The government say its money people and institutions trust him

## Plastic money:

- Debit card
- credit card

## Types of currency :-

### i) Hard currency

• currency in demand of developed country.

Ex - USD  
pound  
Yen

### ii) Soft currency, —

• low demand in International money market  
mostly developing / non - Developed

- Nepali रुपैया
- Pak "
- BANGLADESHI TAKA

### iii) Hot currency, —

• it is the country of which (Investor) come  
at it and suddenly come back.

### iv) Caution money, —

also known as security money.

Ex - House rent Advance.

### v) Legal Tender money -

it is the currency which is known  
legal category of Acceptance under RBI Act or  
compulsory to accept it

Ex - Paper, coins

# Money Supply

C In 1977

$M_0$  = Total Paper / coin currency

$M_1$  = Public money in Bank  
+ money of public.

$M_2$  =  $M_1$  + Post office money.

$M_3$  =  $M_1$  + Bank time deposits

$M_4$  =  $M_3$  + Post office

Press for paper currency in India

- Reserve Bank of India Note mudran Pvt. Ltd. (BRBNMPL).

- (BRBNMPL) is a wholly-owned subsidiary of RBI

mint

- Aizawl, UP
- Kolkata, WB
- Hyderabad, TL
- Mumbai, MH

SPMCIL also manages four mint locations in India.

10 Rupee Note :-

current New series - 2018

Back - Konark Sun Temple

Languages - 17

colour - chocolate Brown.

20 Rupee Note

New series from - 2013

Back - Ellora caves

colour - green - yellow

50 Rupee Note :-

New series - 2017

Back - Hampi Karnataka.

colour Fluorescent Blue.

100 Rupee Note

New series - 2018

Back -

colour - Lavender

200 Rupee Note

introduced in 2016 after demonetisation.

New series - 2018.

Back - Sanchi Stupa

colour -

500 Rupee Note

New series - 2016.

Back - Red fort

colour - Orange yellow